

9.6 WHAT ARE OPTION GREEKS?



Explainer Video

Option Greeks refer to different financial measures that help us understand the sensitivity of an option contract in relation to the factors that affect the option pricing. For instance, it shows how sensitive is option's price to time to expiry, how sensitive is option's price to volatility in the market and so on. Different Greeks are used - Delta, Vega, Gamma, Rho and Theta. Do not stress about using them from day 1. Make sure you understand these well. But only with time in the market will you get comfortable with trading based on Option Greeks. Lets understand each one that we have mentioned.

